

CONTROL-FUNCTION DISSENT AND RAPID ADJUDICATION

Document ID: SH-GOV-DISSENT-001 | **Version:** 1.0.0 | **Effective:** September 2, 2026 | **State:** LOCKED
DIRECTION

Owner: Corporate Governance | **Related:** Assumption of Risk, control functions, reserved matters | **Cross-reference:** ASSUMPTION_OF_RISK_DOCTRINE.md; RESERVED_MATTERS_AND_SUBSIDIARY_AUTONOMY.md

Operating premise

Governance is a crash-prevention system, not a parking brake. A serious control challenge must reach accountable authority quickly without becoming a six-month paralysis mechanism. A material adverse finding forces rapid escalation; it does not automatically create a veto.

Material adverse finding

A finding is material when credible evidence indicates the proposed action may cross an approved boundary, create consequential uncontrolled exposure, rely on a materially false representation, or defeat an applicable control. The finding identifies the disputed action, evidence, consequence, uncertainty, accountable parties, and requested safeguard. General discomfort or uncertainty alone is insufficient.

Protected findings and narrow pause

Only two categories justify pausing the specific disputed action pending review:

1. credible catastrophic safety or operating risk;
2. credible unlawful conduct.

The pause is narrow. Unrelated work continues. A protected finding is not casually asserted to gain leverage, and the initial review tests both credibility and scope without requiring final proof before temporary protection applies.

Time-boxed path

1. The finder promptly informs the accountable decision-maker and relevant control leader, preserving evidence and immediate safeguards.
2. Initial handling occurs on the order of 48 hours: confirm ownership, classify whether protected, define the exact action at issue, establish interim limits, and assemble the smallest competent review group.
3. A protected dispute ordinarily receives initial adjudication on the order of 72 hours. The adjudicator may uphold the pause, authorize with limits, return for defined evidence, or determine the protected threshold is not met.
4. One tightly bounded extension may be granted only to obtain specifically identified evidence. The reason, evidence sought, responsible collector, and new deadline are explicit.

The doctrine uses “on the order of” because operational reality matters; it does not license open-ended delay. Missing a target requires recorded explanation and immediate re-baselining.

Authority and disposition

The lawful authority for the underlying action decides after review unless the matter belongs at a higher reserved band. Control functions retain challenge and escalation rights but do not acquire operational authority merely by issuing a finding. The final record preserves evidence, dissent, assumptions, safeguards, authority, decision, and reopen triggers.

Where the authorized decision is to proceed over a material finding, SH-GOV-RISK-001 documents Assumption of Risk. No assumption may cover exposure outside the acceptor's office or owned by another accountable party.

Controlled publication • Generated from

docs/governance/CONTROL_DISSENT_AND_RAPID_ADJUDICATION.md • Do not alter PDF manually